Accounting Made Simple

Accounting Explained in 100 Pages or Less



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Note: This text is intended to be a high-level introduction to accounting/bookkeeping. The author will make his best effort to keep the information current and accurate; however, given the ever-changing nature of industry regulations, no guarantee can be made as to the accuracy of the information contained within.

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Asset Turnover Ratios

Asset turnover ratios seek to show how efficiently a company uses its assets. The two most commonly used turnover ratios are inventory turnover and accounts receivables turnover.

$$\text{Inventory Turnover} = \frac{\text{Cost of Goods Sold}}{\text{Average Inventory}}$$

The calculation of inventory turnover shows how many times a company's inventory is sold and replaced over the course of a period. The "average inventory" part of the equation is the average Inventory balance over the period, calculated as follows:

$$\text{Average Inventory} = \frac{\text{Beg. Inventory} + \text{Ending Inventory}}{2}$$

Inventory period shows how long, on average, inventory is on hand before it is sold.

$$\text{Inventory Period} = \frac{365}{\text{Inventory Turnover}}$$

A higher inventory turnover (and thus, a lower inventory period) shows that the company's inventory is selling quickly and is indicative that management is doing a good job of stocking products that are in demand.

A company's receivables turnover (calculated as credit sales over a period divided by average Accounts Receivable over the period) shows how quickly the company is collecting upon its Accounts Receivable.

$$\text{Receivables Turnover} = \frac{\text{Credit Sales}}{\text{Avg. Accounts Receivable}}$$

Average collection period is exactly what it sounds like: the average length of time that a receivable from a customer is outstanding prior to collection.

$$\text{Average Collection Period} = \frac{365}{\text{Receivables Turnover}}$$

End Notes

[1] Sample accounting problems for each chapter of this book are available at: www.obliviousinvestor.com/example-accounting-problems. I suggest taking advantage of them if you feel that your understanding of a topic could use some help.

[2] Just a reminder: Sample accounting problems for each chapter of this book are available at: www.obliviousinvestor.com/example-accounting-problems.

[3] In accounting, negative numbers are indicated using parentheses.

[4] If a company doesn't sell all of its inventory over the course of the period, the Cost of Goods Sold calculation becomes a little more involved. We'll be covering such calculations in Chapter 13.